

Israel has about 90 NASDAQ listed companies, Hong Kong 20-plus. Why the difference?

Let me answer this in three parts.

Security of mind. Firstly, you have to understand the Hong Kong model. Most people in Hong Kong came from South China, particularly from Guangdong. Some swam across. My dad, for example, came as a refugee as did many others. It was not an unusual story in the late 1940s and '50s – with political and social problems on the mainland it was the so-called, “I’ve-got-to-get-out-of-here” mentality. So people came and they were on their guard. There was only one university and you had to be top 1% to get in.

It was very much, “You’d better study hard – and don’t forget your uncles and aunties.” It was all about collaboration but it was also about security of mind, which demands conformism. The older generation would say, “Don’t think like that. We are in the grocery business, or the hotel business – that’s what we know.”

That kind of culture doesn’t really foster innovation, because there’s you and there were these Hongks. So the professionals gravitated towards the Hongks but the rest followed Mom and Pops and these family owned boutique enterprises, which have done remarkably well over the years. There’s no place I can think of that replicates these circumstances except countries in Southeast Asia. Security was of paramount importance in those times.

Conservatism. When you look at the numbers, about 93% of businesses are family owned enterprises, meaning owned, controlled or managed by families in Southeast Asia outside of Japan. That means many companies of all shapes and sizes are patriarchal in nature and style. The boss in some instances comes into the office on Fridays and signs a few cheques, says a few words, then heads off to the golf course. It reminds me of an experience with a main board public listed company. They invited me to sit on their corporate listed board.

They said, “Oh Brian, you’ve got a little bit of education, you look Chinese and you should sit on our

board, say a few words and take us out of the ice age.”

So I said, “Okay, let’s engage all of the board members.” It took about a week to interview separately each board director and appreciate them individually. After these interviews I was quite chuffed and thought, “Onto the next phase.”

But then after the interviews they said, “What are you doing Sunday? You must come for Dim Sum!” On that Sunday it was the matriarch of the company who sat at the head of the table. Among the questions she asked me were, “What year were you born? What time were you born? What is your Chinese Zodiac? Where did you get those ears?” without a single question about my education or professional experience. But she was the one who scrutinized all senior decisions about new board members. Finally, I was made to understand that she made the final decision. Granny evidently was not even mentioned in the annual report, but she was the one who actually makes the decision. Welcome to Asia!

International demand. The fragility of Hong Kong was exemplified by SARS. Never have I seen fear like the fear I witnessed among residents at this time, unless you were to go back to the Japanese invasion or something similar. If you coughed on a bus or a train you would immediately have a free seat beside you. There was deep paranoia at that time as Hong Kong citizens rushed to Australia and Canada and other places. During the SARS epidemic, hotels were made to innovate to drive and sustain business. Now you had five buffets a day in hotels instead of three. Companies and people, by necessity, took initiative to innovate.

But Hong Kong is still the gateway to China, even if Shanghai is coming up fast. So, if you wanted law and order, transparency and a legal system that protects, all these companies who want to come in, where do you go? There are only a few choices: Singapore or Hong Kong. Here in Hong Kong, we understand western culture is not new. You can get every kind of food and every kind of product and professional service, and where it matters everyone speaks English.